

THE TOP RUNG

• Three Indian defence PSUs among top 100 arms producing and military services companies

1	2	3	4	5	6	7	8	9	10	43	67	94
COMPANY												
Lockheed Martin	RTX	Northrop Grumman Corp	Boeing	General Dynamics Corp	BAE Systems	Rostec	AVIC	NORINCO	CETC	Hindustan Aeronautics Ltd	Bharat Electricals Ltd	Mazagon Dock Shipbuilders
COUNTRY												
												
ARMS REVENUES												
60.81	40.66	35.57	31.1	30.2	29.81	21.73	20.85	20.56	16.05	3.7	1.94	1.09
ARMS REVENUES AS PER CENT OF TOTAL REVENUES												
90	59	90.5	40	71.4	98.2	65	25	26.8	28.7	94.9	80.8	94.8

74 | **REVENUE** IN \$ BN (AT 2023 CONSTANT PRICES); **SOURCE:** STOCKHOLM INTERNATIONAL PEACE RESEARCH INSTITUTE

nologies, high-resolution imaging technology, electronic warfare technologies for receiving signals and jamming, aerial and under-water surveillance, avionics, satellite services and radars.

THE CHALLENGES

Scaling up is not easy. “The monopsony (only one buyer) nature of the sector and irregularity of orders are a deterrent to investors,” Nuvama Institutional Equities says in a note. “Lenders avoid funding unless a strong collateral is provided,” it says. Private sector companies often face working capital crunch as they do not get advances unlike the PSUs.

Order flows from the government are lumpy, and for continuous order book, manufacturers need to export. “Defence exports are and will always be an instrument of the na-

tion’s foreign policy,” says SIDM’s Bhatia. It would therefore be always driven by national policy and support. Government support is necessary for India to become a major arms exporting nation, he adds. A report by the Federation of Indian Chambers of Commerce and Industry has identified delays in getting export licences as a big challenge. “It takes three-six months to get export licences despite clear timelines for export clearances,” says the report.

Defence companies will also have to contend with shortage of skilled manpower as they grow rapidly. “The rapid evolution of military logistics, cybersecurity and advanced technologies demands a highly skilled workforce. Shortages in specialised personnel, including cybersecurity experts, logistics managers and AI specialists, create capability

gaps in defence operations,” says a Niti Aayog working paper.

Jyoti Gupta, research analyst at Nirmal Bang, says data security can emerge as a big challenge. “As we move towards smart factories, embrace additive manufacturing and scale up AI infrastructure, ensuring data security is a strategic imperative,” she says. The Niti Aayog paper suggests a comprehensive Defence Cyber Security Framework with mandatory compliance standards.

As India seeks to become a manufacturing hub and a leading exporter, manufacturers should be able to procure components quickly to complete orders in time. The country will also have to invest heavily in R&D to keep up with the technological changes in warfare. **BT**

@tinaedwin